

Liquid Insight

UST buybacks: don't go cheap

Key takeaways

- Treasury's buyback announcement fell short of expectations, driving back-end rates higher and spreads marginally cheaper
- Today's 10-20y operation is the next key test: we expect Treasury to purchase close to \$6b max otherwise risk further selloff
- We continue to favor long 30y swap spreads on more activist Treasury debt management

By Katie Craig, Ralph Axel, Mark Cabana and Meghan Swiber

Chart of the day: 30y swap spreads have richened off of Liberation Day trough but remain cheap relative to history

30y UST-OIS spread implies long-end UST remains cheap vs history (bp)



Source: Bloomberg

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Treasury buybacks: buy the dip on the disappointment

Treasury's buyback announcement yesterday was met with some disappointment, driving back-end rates 5bps higher and long-end spreads ended marginally cheaper.

The announcement followed Treasury's surprise Aug 19 guidance that it would "at least" double long-end buyback operations for the quarter. Treasury set a max purchase amount of \$6b for today's buyback operation and indicated purchase sizes of "= or >\$4 billion" for the remaining five long-end buyback operations this quarter.

We expect Treasury to purchase close to the \$6bn max today; buying materially less would risk further back-end cheapening. If Treasury cannot contain the selloff in back-end rates, it may consider more impactful debt-management measures.

We continue to recommend clients buy the dip on 30y spreads due to a more activist US Treasury.

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Treasury buyback announcement met with disappointment

Ahead of the announcement, we expected Treasury to set long-end operation max sizes to \$4-5bn while retaining a \$0 minimum. Treasury ultimately announced a higher \$6b max for today's buyback but committed only to “= or >\$4 billion” for the remaining long-end operations this quarter.

The Treasury market sold off across the curve after the announcement. Spreads initially richened modestly but ended the day marginally cheaper. We attribute the reaction to two likely expectations: (1) a higher minimum purchase amount from \$0 and (2) firmer guidance on higher max purchase sizes for future long-end operations.

Minimum purchase amount: The market likely would have reacted positively if Treasury committed to purchasing a higher minimum. Consistent with our expectations, however, Treasury maintained a \$0 minimum. This preserves flexibility if rates rally and avoids requiring Treasury to accept offers priced materially below prevailing levels.

Higher max purchase amount: Treasury likely wanted to maintain optionality with “= or >\$4b” announced for future long-end buybacks. The market would likely have preferred max sizes of \$6bn or more for the remaining long-end buybacks. However, Treasury may have wanted to avoid a larger standing commitment because purchasing materially below a stated maximum could itself trigger a negative reaction.

Today's buyback operation is the next test

Following yesterday's disappointing market response, we expect the Treasury to be careful not to disappoint markets during today's operation. Treasury will likely need to purchase close to the \$6b maximum. Over the last several operations, the 10y-20y buybacks have received \$18.7b of offers on average, or ~9x oversubscribed, and Treasury has always bought the maximum. A purchase below the max would be unprecedented for the 10y-20y bucket.

Treasury retains the option to purchase as little as \$0, particularly if offers are cheap vs prevailing market prices at the close of the operation. As we have seen previously, a meaningful rally during a buyback risks offers submitted at the start of the operation realizing cheap vs market prices at the end of the operation, resulting in Treasury buying below the max. Treasury will likely need to reconsider some of their internal metrics to avoid buying meaningfully below the max. If Treasury buys below the max we would expect rates to sell-off, driven by the back-end.

Potential additional measures if back-end remains under pressure

If long-end rates continue to sell off, the Treasury may resort to more activist Treasury management. Treasury will likely rely initially on growing long-end buyback sizes but may also be considering cutting long-end auctions sizes at the November refunding announcement if buybacks are not enough.

If Treasury announces further increases or maintains \$6b max long-end buyback sizes and purchases close to the max amount, the market will likely respond positively, richening back-end spreads and putting downward pressure on long-end rates. We estimate that the buyback changes are equivalent to ~6bps of support for 10y yields (Exhibit 1).

To further support back-end rates, the Treasury may also consider cutting back-end auction sizes or even completely cutting the 20y bond. As we discussed in [UST supply cut scenarios: long v short of it](#), reducing the duration of their debt via cutting long-end issuance has a greater impact on rates. We estimated that coupon reductions similar to the recent '21-'22 episode could ultimately correspond with ~20bp of additional rate impact and eliminating the 20y and 30y issues could have as much as 53bp of additional rate impact.



Exhibit 1: 10y rate impact (bp) for a given change in long end issuance strategy

Reducing supply across 20y & 30y issues would have only slightly smaller duration impact vs eliminating 20y issue

		10y equivalent impact (\$bn)			10y bp impact		
		Through end '26	Through end '27	Through end '28	Through end '26	Through end '27	Through end '28
Buyback change		36	136	236	1	4	6
Reductions similar to '22	10y	4	66	138	0	2	4
	20y	6	104	217	0	3	7
	30y	8	128	267	0	4	8
	Total	18	297	622	1	9	19
Elimination of issue	20y	46	310	574	1	9	18
	30y	91	624	1,158	3	19	35
	Total	136	934	1,732	4	29	53

Source: BofA Global Research, Note: rate impact references 1% of GDP in 10y-equivalent duration = 10bps on 10y rates from Fed QE publication and assumes changes implemented starting at the Nov '26 refunding

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Buybacks to be funded with higher bill issuance

We expect Treasury to finance larger buybacks initially via TGA cash but eventually replenish TGA via higher bill issuance. Cuts to long-end issuance would also likely be financed via higher bills until Treasury starts to grow front-end and belly coupon auction sizes. The buybacks are not likely to result in meaningful cheapening of front-end spreads given higher front-end demand and expectations for growing MMF AUM. Debt limit dynamics next year may also delay the impact from higher front-end supply as Treasury temporarily relies on cash from the TGA and pays down bills.

Exhibit 2: Bill issuance impact assuming UST reduces long-end issuance starting at Nov refunding

Bill supply increases up to \$320bn through end FY '28, but duration impact is muted

		\$bn		10y equiv \$bn		
		FY 27	FY 28	Total	FY 27	FY 28
20y & 30y reductions		96	144	240	2	4
20y elimination		155	168	323	4	4

Source: BofA Global Research

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Swap spreads to move wider with activist Treasury

30y spreads widened only about 4-5bp since the day prior to the Aug 19 announcement and are still historically cheap versus the post-2008 negative swap spreads regime ([Chart of the Day](#)). We think an active Treasury can significantly widen long-end spreads from here. Our target is -55bp on our 30y spread long initiated Aug 19 (entry -71bp, current -69bp, target -55bp, stop -80bp, risk to the trade = small Treasury involvement + reduced Fed inflation credibility, see [UST buybacks = activist debt management](#)). Auction size reductions can be material for spreads, with the biggest impact from cancelling 20y auctions entirely or even cancelling 20y and reducing 30y. While such material shifts are not expected in a single refunding announcement, this appears to be a theme that can develop over the next 6 to 12 months.

The key mechanism is removal of PV01 from the cash bond market. A shorter PV01 means a lower total risk-weighted Treasury market on dealer balance sheets, reducing the cost to inventory and finance it. All else equal, this should imply wider spreads across the curve, but most in the long end where bond supply is potentially removed. We have been advocates of Treasury targeting swap spreads near 0 by adjusting supply to meet demand in each sector. We do not think they will go this far, but in theory can. Because swap spreads – in particular long end spreads – offer relatively high carry, we view a long 30y spread position as effectively paying an investor to hold an out-of-the-money option on Treasury intervention. The tail risks of TP spikes on inflation fears or deficit concerns etc. we think are greatly limited by the presence of an active Treasury. These tail risks are the main concern for long-end spread longs. If we are right in thinking

these tail risks are now greatly reduced, then the risk-reward assessment for long 30y spreads becomes attractive at current levels in our view.



Notable Rates and FX Research

- **Global Macro Year Ahead 2026** – [Attitude determines altitude](#), 23 November 2025
- **Global Rates Year Ahead 2026** – [When carry met rally](#), 25 November 2025
- **G10 FX Year Ahead 2026** – [the \(USD\) long and short of it](#), 25 November 2025
- [2025 reflections](#) **Liquid Cross Border Flows**, 8 December 2025

Rates, FX & EM trades for 2026

For a complete list of our open trade recommendations as well as our trade recommendations closed over the past 12 months, see the reports below:

[Global FX weekly: Means to a Yen](#), 4 September 2026

[Global Rates Weekly: Bonds falling, autumn calling](#), 4 September 2026

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